

ACCOUNTING

Educational Cycle





ACCOUNTING

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Objective of the standard

Accounting standard provides the minimum requirements for an entity to conduct its accounting procedures according to the generally accepted accounting principles (GAAP). The standard aims to improve the accuracy of financial statements generated by entities following the correct accounting principles. In the long run this provides accurate data for decision making and thus a sustainable AIESEC.

Why is it relevant to AIESEC

Financial accounting is a non negotiable for an organisation. However, in AIESEC we have very limited knowledge and skills in accounting and finance to do it accurately. This standard will educate and guide you to conduct the accounting requirements inside your entity effectively.



ACCOUNTING

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- ✓ Double entry bookkeeping software for MC and LC
- ✓ Accruals basis accounting
- ✓ Follow accounting principles when doing accounting
- ✓ Review your chart of accounts at least every year
- ✓ Reporting on Global Chart of Accounts
- ✓ LCs follow the chart of accounts provided by the MC
- ✓ General Ledger is generated monthly
- ✓ Reconcile accounts and generate trial balance every month
- ✓ All transactions should have a source document
- ✓ Store all accounting documents virtually and/or physically
- ✓ Credit policy and receivables collection process defined
- ✓ Receivables should be followed up every two weeks after the deadline for payment
- ✓ Routine with accountants defined (If there is an accountant)

Basics of Accounting

*Because in this process,
everything counts.*

But first Short Story about Accounting

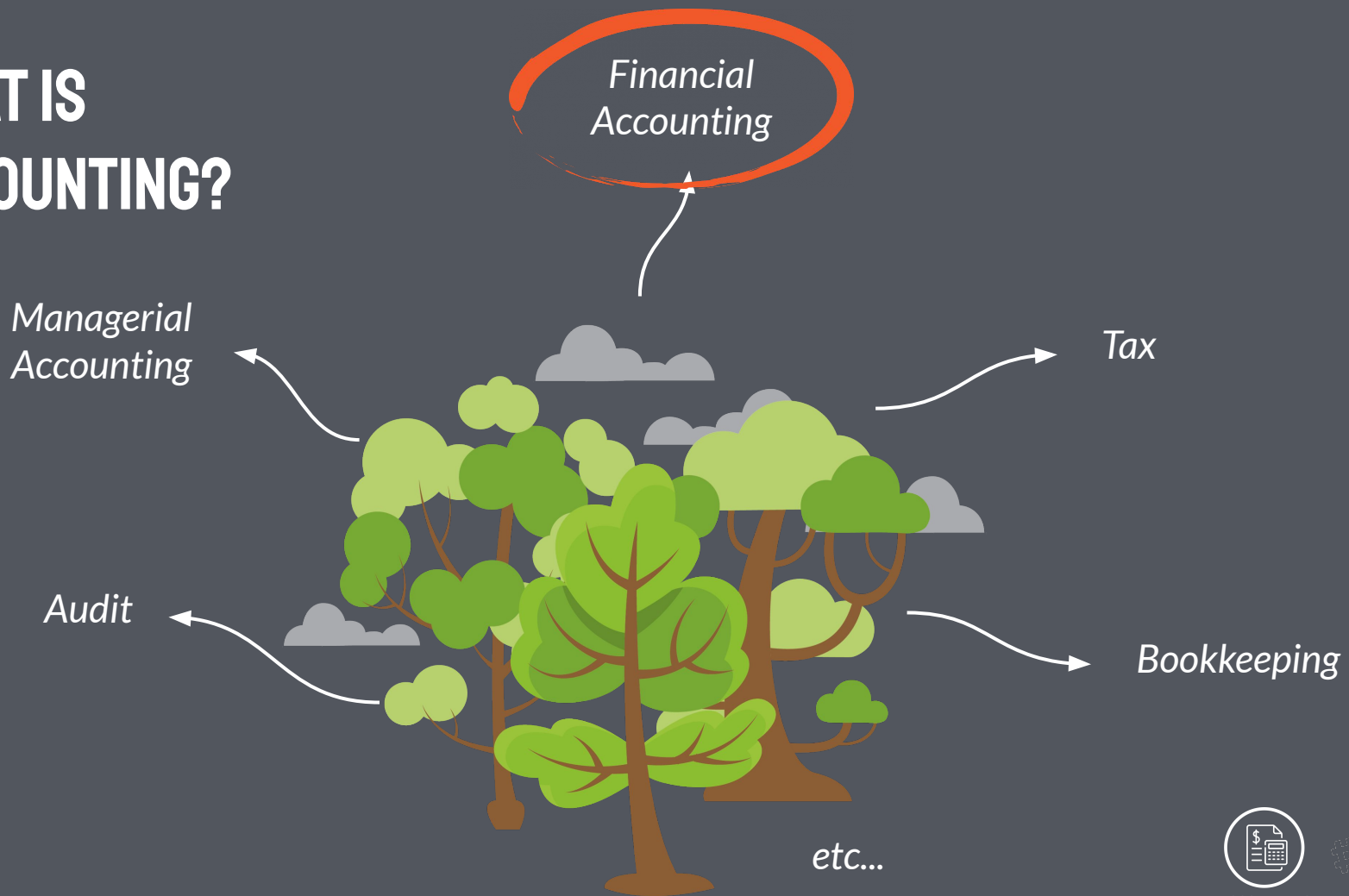
The concept of accounting dates back to **Ancient Greece and Mesopotamia**, and is closely related to advances in writing, money counting, and the early auditing systems used by the ancient **Egyptians and Babylonians**. In the days of the **Roman Empire**, the government had access to detailed **financial information**.

In India Chanakya wrote a manuscript similar to a **financial management book**, during the period of the **Mauryan Empire**.

The Italian Luca Pacioli, recognized as **The Father of accounting** and bookkeeping was the first person to publish a work on double-entry bookkeeping, and introduced the field in Italy.



WHAT IS ACCOUNTING?



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WHAT IS ACCOUNTING?

Accounting is an information and measurement system that identifies, records and communicates relevant, reliable and comparable information about an organization's business activities.

We will show you the accounting principles you should follow again.



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WHAT IS FINANCIAL ACCOUNTING?

The process of identifying, recording and summarising and analysing an entity's financial transactions & reporting them in Financial Statements.



✓ YOUR ENTITY RECEIVED MONEY FROM PARTNERS FOR A YOUTHSPEAK SALE

The First step in Financial Accounting is to identify transactions: received \$1000 from X Partner.

The Second Step: Prepare Journal Entries.





JOURNAL ENTRY

A record of a financial transaction



Example

J/E Number: 1035

DATE	ACCOUNT	DEBIT	CREDIT
13/05/202X	Bank	\$1000	
	Partner Revenue		\$1000
<i>Youthspeak Sale</i>			

This affects at least 2 accounts, and debit and credit are equal.
We are doing this way because we use **double entry accounting!**

*We will talk about it and the accounting equation later.

DOUBLE ENTRY



Double-entry bookkeeping, in accounting, is a system of bookkeeping where every entry to an account requires a corresponding and opposite entry to a different account. The double-entry system has two equal and corresponding sides known as [(debit and credit)]. The left-hand side is debit and the right-hand side is credit. It allows the accounting equation to be balanced.

For example, when a company borrows money from its bank, the company's 'cash' account will increase and its liability account 'c' will increase. If a company pays \$200 for an advertisement, its 'cash' account will decrease and its account 'advertising expense' will increase.

DEBIT = CREDIT



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ACCOUNTING PROGRAM VS. EXCEL



Official

With an accounting program, we must do our daily accounting, overview of current liquidity, liabilities towards members, registration of income and expenses, and generate the official documents.



NOT

We can use excel to see a **general overview** of the financial situation, comparison planned and actual values, **tracking of budget** spendings, consolidation of MC/LC, but this is only as a tool to view the data



WHO ARE THE USERS OF ACCOUNTING INFORMATION?

EXTERNAL

- Lenders or banks
- Shareholders
- Government
- External Auditor

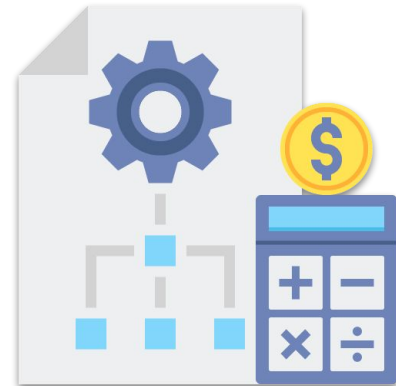
Providing Financial Statements gives your entity credibility and transparency towards the stakeholders and you can have more opportunities and benefits. Ex. tax exemptions, grants, etc.

INTERNAL

- Executives for decision making
- Controllers and managers

Accounting is the language of the finances, and only through it we can make analysis and take decisions with solid fundamentals.

ACCOUNTING PRINCIPLES



RULES ARE RULES

But the rules change a bit depending on where you are based.

**INTERNATIONAL FINANCIAL
REPORTING STANDARDS**

OR

DISCLAIMER: One thing in common is that both want you to follow the accrual method of accounting



**GENERALLY ACCEPTED
ACCOUNTING PRINCIPLES**

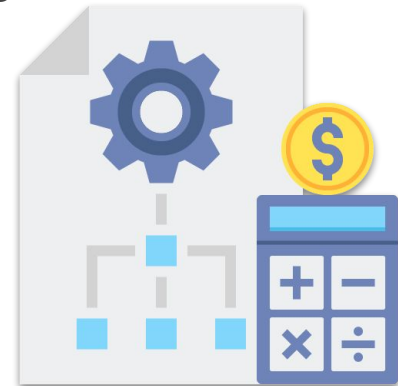


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✓ WHY ARE ACCOUNTING PRINCIPLES IMPORTANT?

The purpose of having - and following - accounting principles is to be able to communicate economic information in a language that is acceptable and understandable from one business to another.





ACCOUNTING PRINCIPLES

Accrual principle: Your transactions should be recorded in the period in which they actually occur, rather than the period in which the cash flows related to them occur.

Consistency principle: Once an accounting principle or method is adopted, continue to follow it consistently in future accounting periods. Only change an accounting principle or method if the new version in some way improves reported financial results.

Cost principle: It is also known as the historical cost principle. The cost principle requires that assets be recorded at the cash amount (or its equivalent) at the time that an asset is acquired.

Economic entity principle: The transactions of a business should be kept separate from those of its owners and other businesses. This prevents intermingling of assets and liabilities among multiple entities, which can cause considerable difficulties when the financial statements of a fledgling business are first audited.

Full disclosure principle: You should include in an entity's financial statements all information that would affect a reader's understanding of those statements.

Going concern principle: The assumption is that a company or other entity will be able to continue operating for a period of time that is sufficient to carry out its commitments, obligations, objectives, and so on.





ACCOUNTING PRINCIPLES

Monetary unit principle: Record only business transactions that can be expressed in terms of a currency.

Reliability principle: You can record only transactions in the accounting system that you can verify with objective evidence (accounting document).

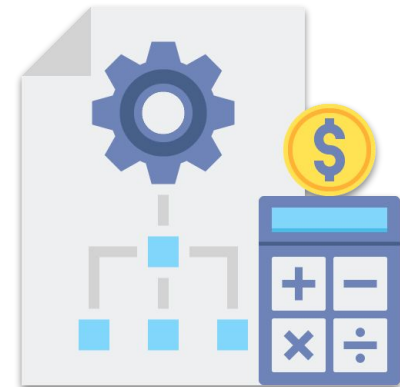
Revenue and costs recognition principle: The accounting guideline requiring that revenues (costs) be shown on the income statement in the period in which they are earned (spent), not in the period when the cash is collected.

Time period principle: You should report the financial results of its activities over a standard time period, which is usually monthly, quarterly, or annually.



CALL TO ACTION

Start recording your transactions! It's easier than you think if you follow the Principles. Approach GFB if you have any questions or concerns about any of them.





WHAT IS THE FISCAL YEAR?

A fiscal year (FY) is a period that a LC or entity uses for accounting purposes and preparing financial statements. A fiscal year may not be the same as a calendar year in companies, but in AIESEC usually fits with the natural year (Jan-Dec).

At the end of the fiscal year you need to generate your financial statements, such as the balance sheet or the profit and loss statement. It is also a moment when you may need to pay taxes.



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